11.5.2. Non- Economic Factors

'Economic Development has much to do with human endowments, social attitudes, political conditions and historical accidents. Capital is a necessary but not a sufficient condition of progress. – Ragnar Nurkse.

1. **Human Resources:** Human resource is named as human capital because of its power to increase productivity and thereby national income. There is a circular relationship between human development and economic growth. A healthy, educated and skilled labour force is the most important productive asset. Human capital formation is the process of increasing knowledge, skills and the productive capacity of people. It includes expenditure on health, education and social services. If labour is efficient and skilled, its capacity to contribute to growth will be high. For example Japan and China.

2. **Technical Know-how:** As the scientific and technological knowledge advances, more and more sophisticated techniques steadily raise the productivity levels in all sectors. Schumpeter attributed the cause for economic development to innovation.

3. **Political Freedom:** The process of development is linked with the political freedom. Dadabhai Naoroji explained in his classic work 'Poverty and Un-British Rule in India' that the drain of wealth from India under the British rule was the major cause of the increase in poverty in India.

4. **Social Organization:** People show interest in the development activity only when they feel that the fruits of development will be fairly distributed. Mass participation in development programs is a pre-condition for accelerating the development process. Whenever the defective social organization allows some groups to appropriate the benefits of growth, majority of the poor people do not participate in the process of development. This is called crony capitalism.

5. **Corruption free administration:** Corruption is a negative factor in the growth process. Unless the countries root-out corruption in their administrative system, the crony capitalists and traders will continue to exploit national resources. The tax evasion tends to breed corruption and hamper economic progress.

6. **Desire for development:** The pace of economic growth in any country depends to a great extent on people's desire for development. If in some country, the level of consciousness is low and the general mass of people has accepted poverty as its fate, then there will be little scope for development.

7. **Moral, ethical and social values:** These determine the efficiency of the market, according to Douglas C. North. If people are not honest, market cannot function.

8. Casino Capitalism : If People spend larger propotion of their income and time on entertainment liquor and other illegal activities, productive activities

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